UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))	Docket No. RM26-4-000

COMMENTS OF THE AES CORPORATION

Pursuant to the Notice Inviting Comments issued on October 27, 2025 by the Federal Energy Regulatory Commission ("FERC" or "Commission"),[1] The AES Corporation ("AES") hereby submits these comments in response to the advance notice of proposed rulemaking ("ANOPR") released by the Secretary of Energy pursuant to section 403 of the Department of Energy ("DOE") Organization Act.[2]

I. BACKGROUND

AES is a publicly-traded, diversified global energy company that indirectly owns electric generation, transmission, and distribution facilities, including approximately 17.7 gigawatts ("GW") of generating capacity of thermal, battery energy storage, and renewable energy generating facilities located across the United States and two transmission-owning utilities. In the United States, AES subsidiaries maintain an approximately 7.5 GW backlog of contracted projects under development, and an approximately 46 GW pipeline. AES's generation-owning subsidiaries are top suppliers of energy to data center customers, having signed approximately 10.5 GW worth of long-term wholesale power purchase agreements across business lines since 2018.

---

[1] *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025).

[2] *Interconnection of Large Loads to the Interstate Transmission System*, Advance Notice of Proposed Rulemaking, Docket No. RM26-4-000 (Oct. 27, 2025) ("ANOPR").

In Ohio, AES is the majority owner of the Dayton Power and Light Company d/b/a AES Ohio ("AES Ohio"), a transmission and distribution public utility serving approximately 539,000 retail customers in West-Central Ohio. AES Ohio's transmission facilities are under the operational control of PJM Interconnection, L.L.C. ("PJM") and transmission service over those facilities is provided under the PJM Open Access Transmission Tariff ("PJM OATT"). AES Ohio provides retail electric service to its customers under tariffs regulated by the Public Utilities Commission of Ohio ("PUCO"). AES Ohio serves certain customers at retail via high voltage delivery points under its PUCO-jurisdictional Tariff D22—Electric Distribution Service—High Voltage and may enter into unique arrangements with customers for such service, subject to PUCO approval.[3] AES Ohio also purchases power for resale to its retail customers who have not chosen a competitive supplier (Standard Service Offer electric service) through a competitive auction process regulated by the PUCO.[4]

In Indiana, AES is the majority owner of the Indianapolis Power and Light d/b/a AES Indiana ("AES Indiana"), a vertically integrated public utility that provides electric utility service to over 520,000 retail customers located principally in and near the City of Indianapolis. AES Indiana's transmission facilities are subject to operational control of the Midcontinent Independent System Operator, Inc. ("MISO OATT") and transmission service over those

[3] AES Ohio has retired or divested all of its generation assets except a 4.9% indirect ownership interest in the Ohio Valley Electric Corporation (resulting in indirect control of 117 MW).

[4] Electric customers within Ohio are permitted to purchase power under contract from a Competitive Retail Electric Service ("CRES") provider or from their local utility under SSO rates. The SSO generation supply is provided by third parties through a competitive bid process. Ohio utilities have the exclusive right to provide transmission and distribution services in their state-certified territories. While Ohio allows customers to choose retail generation providers, AES Ohio is required to provide retail generation service at SSO rates to any customer that has not signed a contract with a CRES provider or as a provider of last resort in the event of a CRES provider default. SSO rates are subject to rules and regulations of the PUCO and are established through a competitive bid process for the supply of power to SSO customers.

facilities is provided under the MISO Open Access Transmission Tariff. AES Indiana provides retail electric service to its customers under tariffs regulated by the Indiana Utility Regulatory Commission ("IURC"). AES Indiana serves certain customers at retail via high voltage delivery points under its IURC-jurisdictional Rate HL: High Load Factor -- Primary Distribution, Sub-Transmission and Transmission Voltages. AES Indiana also may enter into Customer Specific Contracts for such service subject to IURC approval. In addition to its transmission and distribution assets, AES Indiana owns over 3.9 GW of generation and battery capacity.

Both AES Ohio and AES Indiana's (AES Ohio and AES Indiana together, the "AES Utilities") wholesale transmission rates are developed annually through formula rates filed with and approved by the Commission.[5] However, the AES Utilities provide limited transmission service to entities other than on behalf of their retail customers. The vast majority of each utility's transmission service is provided to themselves to facilitate each utility's obligations as load serving entities for their retail customers. In general, when developing its bundled retail rates, AES Indiana includes transmission plant and expenses and credits transmission revenues received from its FERC formula rate to its cost of service. AES Ohio recovers the transmission-related costs imposed on, or charged to, it by PJM (including the Network Integration Transmission Service rate developed through its FERC formula rate) through its retail Transmission Cost Recovery Rider included in its PUCO-jurisdictional retail rates.

II. INTRODUCTION

AES appreciates the Commission's focus on the interconnection of large loads and the interplay between these loads and co-located generation resources. AES believes that the

---

[5] PJM OATT Attachment H-15, H-15A PT. 1 – 4, H-15B (providing AES Ohio's Formula Rate); MISO OATT Attachments O-AESI and GG-AESI (providing AES Indiana's Formula Rate).

ANOPR raises important questions about large load interconnections and associated issues, including co-location of generation and protections for existing customers.

The AES Utilities are experiencing unprecedented load growth driven by data center additions in their respective service territories. As provided to PJM, AES Ohio currently forecasts over 6.3 gigawatts of new load by 2032, which will nearly triple AES Ohio's current peak. AES Indiana forecasted to MISO nearly 1.9 gigawatts of new load by 2029, representing a seventy-five percent increase to its existing peak. The AES Utilities are committed to fulfilling their obligation to serve these large loads in an efficient and cost-effective manner, while protecting existing customers from the risk if such customers do not reach their requested level of service. To date, the AES Utilities have entered into agreements with data center customers representing over 2.8 GW of load additions (and are currently studying interconnections and negotiating agreements for over 5.4 GW of load additions), and thus have direct experience with many of the issues raised by the ANOPR. Similarly, AES's generation-owning subsidiaries outside of Ohio and Indiana are some of the largest suppliers of clean energy to data center customers, and AES sees co-location as a tool to be deployed where needed to accelerate the deployment of generation to meet growing wholesale power demand.

III. COMMENTS ON CERTAIN DOE PRINCIPLES FOR REFORM

The ANOPR states that due to the unprecedented current and expected growth of large loads seeking to interconnect, and to provide open and non-discriminatory access to the transmission system, it has become necessary to standardize interconnection procedures and agreements for such loads.[6] AES shares the view that transparency and regulatory certainty are

[6] ANOPR at P 12.

necessary elements for effective market participation and investment, whether such investment involves generation, transmission and distribution, or load. However, AES also recognizes that each large load addition presents unique circumstances depending on the region in which the load is located and any state jurisdictional issues. AES recommends that any Commission action taken on the principles proposed in the ANOPR be done in a manner that preserves contractual flexibility between parties and recognizes the technical and operational nuances of the load and generation applications within the regions in which they are located. AES also believes that the Commission should exercise caution to avoid potential jurisdictional pitfalls that could ultimately frustrate the ANOPR's goal of speed to power and the industry's need for certainty on approach. AES addresses certain of the ANOPR's principles below.

A. Jurisdictional Considerations (Principle 1)

The interconnection of large loads to utility systems presents nuanced jurisdictional questions that are not easily resolved. If the Commission asserts jurisdiction over load interconnection processes that have historically been state-jurisdictional or issues a standalone rulemaking without considering existing stakeholder efforts, then the ANOPR's objective of expediting large load interconnections in a non-discriminatory manner may be delayed. In order to interconnect new large loads as quickly and efficiently as possible, market participants need regulatory certainty, and the potential for protracted disputes concerning jurisdiction would thwart such certainty. Accordingly, AES respectfully recommends that the Commission develop a robust record and consider existing stakeholder and state initiatives before seeking to standardize large load interconnection.[7]

[7] AES is concerned that establishing standardized readiness requirements and withdrawal penalties (*i.e.* ANOPR Principle 4) may not properly address challenges associated with speculative large load

However, there are areas that are squarely within the Commission's jurisdiction where Commission guidance could support the existing efforts to interconnect large loads to the transmission system. For example, Section 205 of the Federal Power Act authorizes FERC to require a public utility to file any contracts that could significantly affect transmission rates. AES has, and continues to file, its large load construction service agreements ("CSA") for Commission approval under Section 205 when such agreements include provisions requiring the customer to pay for significant transmission network upgrades if a CSA is terminated.[8] There is a clear role for the Commission in ensuring that certain cost-recovery mechanisms are just and reasonable (such as cost recovery related to the construction of network upgrades if a large load abandons the interconnection prior to taking retail service).[9] AES details its current process for interconnecting large loads, and potential Commission enhancements, in Part B, below. In contrast, agreements to provide retail electric service (regardless of whether such agreements involve service under a high voltage tariff) are state jurisdictional because (among other reasons) such service necessarily involves service over distribution facilities to the end user.

The Commission also has jurisdiction over the interconnection of the generation and storage capacity necessary to serve large loads. Significant additions to existing generation and storage capacity are required to reliably serve the expected large load additions over the next decade and certain regions are already facing capacity constraints. The Commission should

---

projects. Standardized penalties may also fail to consider the different financial positions that large loads may have relative to each other. In AES's experience, these challenges can vary from region to region and are best resolved by power providers and transmission owners, in partnership with their state commissions or other relevant retail authorities. For example, the PUCO recently approved an AEP Ohio tariff that imposes certain financial and usage requirements intended to ensure that only data center projects that have achieved a certain degree of certainty are considered for interconnection.

[8] 16 U.S.C. § 824d(c); *See Cleveland v. FERC*, 773 F.2d 1368, 1376 (D.C. Cir. 1985)

[9] *E.g.*, *Dayton Power and Light Company d/b/a AES Ohio*, CSA Filing, Docket No. ER25-192-000 (filed Oct. 23, 2024).

continue to utilize its clear jurisdiction over the generator interconnection process to address existing barriers to new generation and storage capacity entry, as these barriers continue to hinder AES's and other developers' ability to deliver much needed energy capacity to meet rising wholesale demand. Failing to address these issues will jeopardize the ability to serve large loads (regardless of the speed at which they interconnect) or could lead to significant volatility in the energy and capacity markets. To meet the unprecedented demand growth over the next decade, AES believes that Commission focus is needed on expediting all possible solutions (including generation and battery capacity, demand response, targeted curtailment, and grid enhancing technologies).

B. Load Interconnection Standardization and Cost Assignment for Network Upgrades (Principles 4 and 8)

As described in the ANOPR, U.S. electricity demand is expected to grow at an extraordinary pace, most notably from large loads associated with data centers.[10] In AES's experience, data center customers are primarily concerned with (1) the speed at which they can receive the first MW of service, (2) the total amount of MWs that can be served at a given site, and (3) the cost of providing service. In AES's view, significant one-size-fits-all changes to the existing cost assignment paradigm for required network upgrades (*i.e.* 100% costs borne by the customer) are not needed to achieve the above considerations. Utilities such as AES Ohio and AES Indiana are tasked with building, maintaining, and operating the grid infrastructure necessary to provide service to all customers and are compensated for the risks associated with such by earning a reasonable return on their investments. These utilities are also incentivized to meet new load customer goals so that they can continue to upgrade their networks and spread

[10] ANOPR at Section II.A.

network costs over a larger load base, which in turn benefits existing customers. If a utility cannot meet customer needs, data centers and other large loads are likely to relocate to different utility service territories. Thus, speed of interconnection is already an important consideration for utilities and service providers.

AES recognizes that there are multiple just and reasonable approaches to processing interconnection requests from large loads. However, to date, the AES Utilities have experienced success interconnecting large loads to the grid within such customers' requested timeframes in a manner that is tailored to also protect existing customers. To assist the Commission with developing a robust record in this proceeding, AES provides detail on its current approach, along with suggestions for Commission enhancement, below.

1. AES Utilities Approach to Large Load Interconnection

As utilities providing large load interconnections, AES Ohio and AES Indiana have several guiding principles: (1) all interconnections should be performed in a safe and reliable manner, (2) to the extent possible, existing customers should be protected from cost-shifting risks associated with large load additions, and (3) where possible, new additions should be designed to reinforce any weaknesses in the network. During the interconnection process, large load customers' requests for service change frequently, including for matters related to the configuration of their sites and the ramping period. While the customer is refining their project, the interconnecting transmission owner is actively studying its system to determine the system upgrades necessary to serve such load. In AES's experience, large load interconnection is a dynamic process between multiple parties to identify the best site, configuration and size to meet each party's goals, needs, and capabilities.[11] Notably, each interconnection is unique depending on the site, cost of facilities necessary to provide service, and load type. The risks for the utility, developer, new large load customer, and existing customers reflect such uniqueness.

For the AES Utilities, a key part of the interconnection process is the negotiation of (1) the CSA and (2) retail electric service agreement. The CSA provides the terms and conditions pursuant to which the utility will construct the grid facilities necessary to serve the large load. Because the interconnection processes are dynamic and flexible, in many cases, AES Ohio and AES Indiana can work with a large load customer to site their project in a location that provides reliability benefits for the system, supports growth for the economies of the service territories, and maintains or potentially lowers what existing customer rates would have been absent the project.

Concurrent with negotiation of a CSA, AES Ohio and AES Indiana and their large load customers negotiate the terms of the applicable state-jurisdictional electric service agreement. These agreements provide the terms and conditions pursuant to which the utility will provide retail service to the large load. Typically, these agreements are executed while the large load customer's facility is still in development and in advance of other important milestones. Thus, the utility and existing customers are exposed to the risk that the customer will fail to take the level of service requested or will abandon the project. In order to protect existing customers and the financial integrity of the utility, AES Ohio and AES Indiana require such agreements to

[11] The AES Utilities have been successful partnering with data center customers to locate data centers in areas that are both beneficial for needed system reinforcements for the zone and existing customers, in addition to the data center customer. The AES Utilities are able to do so because, in their respective service territories, they are well positioned to understand the nuances of their respective systems, along with their customers' needs, and have a flexible, dynamic process in place.

include minimum load requirements and exit or termination fees. AES Ohio and AES Indiana balance the projected cost of providing service to the customer with the minimum load requirement to develop an appropriate contract term and termination fee (In Indiana, there are also state statutory rules regarding customer responsibility for utility costs).

2. Interconnection Risks and Potential Commission Enhancement

From the AES Utilities' perspective, the primary risk that needs to be addressed prior to the commencement of service, is the potential for a large load customer to take less service than requested, resulting in the construction of grid upgrades that are no longer used and useful (due to the customer either lowering their demand or abandoning the project). As described above, for large load customers, the terms of interconnection to the utility system are typically one of the key initial milestones for their project ahead of other key development needs (including securing separate energy supply when needed).[12] Thus, for the utility, there is a significant risk that the large load customer is unable to meet its requested ramp and load schedule due to the customer failing to meet other development needs that occur later (water rights, zoning approvals, energy supply procurement, among others). Considering this risk, AES Ohio and AES Indiana require large load customers to be responsible for the costs incurred if the large load abandons their project. Thus, under AES Ohio and AES Indiana's current practices, if a CSA is terminated, the large load customer will reimburse the utility for the development and

[12] In AES' experience, even at vertically-integrated utilities, large load customers are willing to enter into CSAs for necessary grid enhancements prior to securing the terms of an electric service agreement associated with providing energy and capacity necessary to serve them. As noted above, for large load customers, a key priority is the first MW of service. To secure that first MW as quickly as possible (and start construction of the grid facilities as quickly as possible), many large loads are willing to pay for such grid enhancements prior to having certainty regarding their energy supply needs.

construction costs it incurred for the transmission and distribution facilities necessary for interconnection (minus any salvage value) up to a cap that includes a contingency.

As discussed above, the CSA is a critical component to establishing large load interconnection and to protecting existing customers, and the AES has filed these CSAs with the Commission when necessary. However, AES recognizes that other utilities have taken different approaches from the AES Utilities,[13] and that questions remain as to how certain customer protections (i.e. termination or load shortfall payments made by the large load customer) would be accounted for and reflected in transmission rates. Accordingly, AES believes that the Commission could provide certainty to the market by issuing guidance, whether in the form of a policy statement or otherwise, regarding how termination fees from construction service agreements associated with transmission network upgrades should be accounted for in transmission rates. The Commission could also provide certainty by expeditiously acting in dockets involving construction service agreements (or similar agreements) with open questions currently before the Commission. In addition, many utilities include minimum load provisions in their retail electric service agreements with large loads, with associated penalties if minimum load thresholds are not met. To the extent these provisions trigger, the Commission should provide guidance regarding whether such load should be reflected in the derivation of transmission rates.

C. Co-location Incentives and Operational Limitations (Principles 3, 5 and 6)

Several of the ANOPR principles address co-location through the inclusion of "hybrid facilities," which the ANOPR defines as loads "that share a point of interconnection with new or

---

[13] *See, e.g.*, PECO Energy Company, TSA Filing, Docket No. ER25-3492-000 (filed Sept. 23, 2025).

existing generation facilities."[14] AES believes that there can be both system and time-to-power benefits associated with co-location, and AES supports the ANOPR's goal of incentivizing the co-location of generation and load, where appropriate. However, AES believes that any incentives should adhere to two guiding principles: First, any incentives should be technology neutral and should not disincentivize other activities that support the grid, such as the development of energy storage or the adoption of innovative technologies. Second, these incentives should not unduly harm other customers on the system, whether through cost-shifting, or otherwise.[15]

AES believes that the Commission should take a holistic approach to ensure that any rules surrounding co-location are developed to allow for flexibility in configuration and contractual arrangements. In this regard, the Commission should first clarify the definitions it proposes to adopt and ensure that such definitions capture and respect regional and operational nuances. Any proposed rule should therefore seek further comment on what constitutes co-location for the purposes of the reforms proposed in this proceeding, as the definition of "hybrid project" proposed by the ANOPR may not reflect the range of potential configurations. For example, in some regions, generation and load may seek to share a common point of interconnection but may be separately metered and interact independently of one another vis a vis the transmission grid, therefore arguably both co-located and not co-located. In other instances, the generation could be physically islanded, without any grid interconnection. As

---

[14] ANOPR at P 12; *See id.* at PP 15, 22, 23.

[15] While both important, generation and load interconnection are separate issues that do not necessarily need to be addressed together. For example, AES believes that customer protection mechanisms to address the risk of cost-shifting must be in place regardless of whether large loads are co-located with generating facilities. *See* Part III.B.

discussed above, regulatory certainty is paramount, and AES believes that the Commission should avoid adopting a strict definition of "hybrid" or "co-located" facilities without first considering the issues raised around collocation in other ongoing Commission proceedings and within the RTO/ISO stakeholder processes.[16]

The Commission should also take a flexible approach to establishing any potential incentives designed to unlock the benefits of co-location arrangements. In ANOPR Principal 5, the Commission highlights one potential incentive mechanism in the form of faster time to power through physical limitations on injection and withdrawal rights. Effectively, the ANOPR proposes that the generation and the load install system protection facilities and treat injection and withdrawal rights on a "net" basis. AES believes that the Commission should develop a more fulsome record to evaluate with this approach, and ensure that constituency between any proposed rules.[17] Physical limitations may make sense in some instances, and it is true that a critical factor in determining the need for network upgrades is whether the load will require grid support (i.e. withdrawal rights) during periods when any collocated generation is unavailable. However, there are other circumstances where alternative approaches to incentivize co-location may also be reasonable, and Commission should explore other incentives without the need for physical limitations that effectively island large quantities of new generation.[18] Financial mechanisms to encourage certain behavior or account for deviations, without the need for

[16] *See, e.g.*, *Large Loads Co-Located at Generating Facilities*, Notice of Commissioner-Led Technical Conference, Docket No. AD24-11-000 (issued Aug. 2, 2024) ("Large Load Technical Conference").

[17] AES notes that, elsewhere in the ANOPR, the Commission suggests that certain services should be based on "peak," rather than "net" demand. *See* ANOPR at P 29 (Principle 12).

[18] Although the ANOPR suggests that collocated generation would be fully compensated by the market for ancillary services, more clarity is required as to how this compensation would work if the generator were limited to reduced, or no, injection rights.

potentially costly additional system protection equipment, should also be considered.[19] AES notes that some of these issues are already before the Commission in existing proceedings, including the Commission's FPA Section 206 Proceeding addressing co-location of large loads within PJM.[20] To promote regulatory certainty, the Commission should ensure that any rules developed through this proceeding related to collocated generation and transmission service address and take into account the records as well.

D. Expedited Studies for Certain Facilities (Principle 7)

AES believes that both load and generation should be subject to the curtailment rules outlined in the relevant reliability standards. AES also believes that an "all of the above" approach is needed to satisfy the grid's growing need for supply. Accordingly, the Commission should continue to develop a robust record to understand the operational and technical capabilities of large loads and collocated facilities both in the short term and over time.

E. Co-location with Existing Generation (Principle 10)

AES believes that the Commission should distinguish between co-location of loads with new versus existing generation, as the impacts to existing customers will differ. With respect to existing generation, AES believes that the system operator should be required to study that generation as a retirement if it is going to be effectively taken behind-the-meter in a manner that removes the energy and capacity benefits from the market. AES believes that this is consistent

---

[19] AES Ohio highlighted some of the potential benefits in its response to the PJM Show Cause Proceeding. *See* Answer of the Dayton Power and Light Company d/b/a AES Ohio, Docket Nos. EL25-49-000, et. al. (filed March 24, 2025). AES urges the Commission to develop a comprehensive record, incorporating the testimony from the Large Load Technical Conference. As evidenced by the Large Load Technical Conference, and in responses to the PJM Show Cause Proceeding, there is a clear desire throughout the industry for clear rules around cost allocation and the assessment of transmission charges on large loads.

[20] *PJM Interconnection, L.L.C.*, et. al., 190 FERC ¶ 61,115 (2025) ("PJM Show Cause Proceeding").

with the Commission goal of ensuring reliability, particularly in light of the generation supply shortages forecasted in certain regions for the next few years. Where at all possible, the Commission should encourage the entry of new generation into the market to ensure that supply catches up with demand.

IV. CONCLUSION

AES appreciates the opportunity to comment on this important proceeding and respectfully requests that the Commission act in accordance with AES's Comments. AES looks forward to working with the Commission and other stakeholders to ensure that the industry is able to accelerate the interconnection of large loads and needed generation in a manner that promotes investment, ensures regulatory certainty and, above all, provides for the safe, reliable, and affordable delivery of energy.

Respectfully submitted,

/s/ Ben L. Tejblum

Ben L. Tejblum
Angela Amos
William M. Rappolt
The AES Corporation
4300 Wilson Blvd
Arlington, VA 22203
ben.tejblum@aes.com
angela.amos@aes.com
william.rappolt@aes.com

Dated: November 21, 2025